EVREN

DATA ANALYTICS CONSULTING

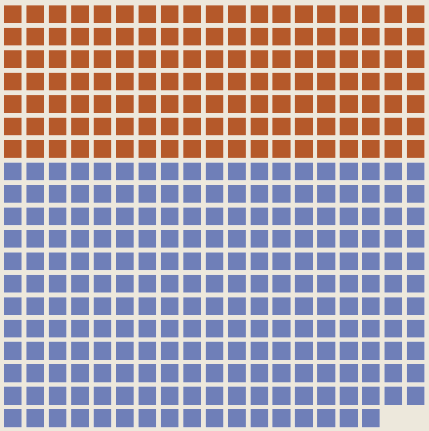
Tier-based discount caps turn Inside Sales profitable

lifting total net contribution nearly 5× to an estimated $115,258

Challenge

More than 1 in 3 Inside Sales accounts lose money

Losses outweigh the **+$2,792** earned by the other 226 accounts, leaving the whole tier at **−$16,822**.



133

of 359 accounts (37%) have negative net contribution

−$147

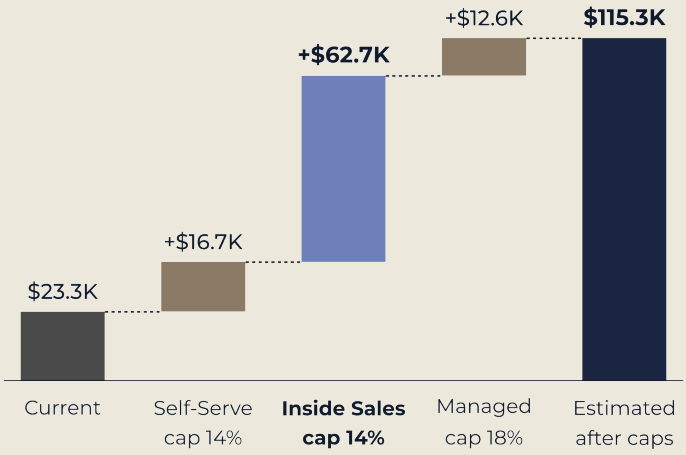
average loss per account, −$19,614 total

Negative (133) Positive (226)

Solution

Inside Sales drives 68% of the $92K gain

Net contribution by tier, current to estimated after caps.



Impact

Key metrics improve

Suggested discount caps

Self-Serve	Inside Sales	Managed
14%	14%	18%

Change in percentage points after discount caps

Net contribution to profit ratio uses pre-cap profit as its denominator

Net contribution to profit ratio

8% to 41% of $282,484 total profit (2022–2025)



% of accounts meeting margin target

48% to 62%



Average gross margin

11% to 16%, now above the 15% target



Managed accounts at $500+ target

30 to 33 of 78 accounts (38% to 42%)



Key assumption: order volume holds after the caps. If customers buy less, the gain shrinks. A 10% volume drop would reduce estimated net contribution from $115,258 to $77,815, still more than 3× today's $23,315.

Prepared For

Marcus Reyes, VP of Sales, Southwest Office Solutions

Data Analyzed

- Account-level analysis of 793 accounts, Jan 2022–Dec 2025; five records excluded for missing key data.
- Company targets: 15% gross margin; $500+ net contribution per managed account (2022–2025).
- Service policy supplied by client's Finance department.

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Prepared for Data Visualization Course, University of Arizona. Course scenario using a provided dataset.